

EG South Asia Biweekly: Modi's Indonesia trip boosts defense exports

送信者: EG South Asia 受信日時: 2026-07-10 03:15

[【メール原文】](#)

South Asia Biweekly

09 Jul 2026 14:14 EDT

Modi's Indonesia trip boosts defense exports

-
- * India: Strengthened government will advance legislative agenda during parliamentary session
 - * India: Takaichi's visit will strengthen supply chain security
 - * India: Modi's Indonesia trip boosts defense exports
 - * India: Clearinghouse agreement eases regulatory uncertainty for EU banks
 - * Pakistan: Low-level conflict with Afghanistan will probably persist
 - * Bangladesh: Rahman's China trip sends a signal to India
-

India

Short-term trajectory:

Long-term trajectory:

Strengthened government will advance legislative agenda during parliamentary session. Parliament's monsoon session will convene on 20 July and run through 13 August. Prime Minister Narendra Modi's government enters the session in a stronger position. In recent state elections, the ruling Bharatiya Janata Party (BJP) scored an upset victory in Bengal and retained power in Assam. Additionally, in June, 26 members of parliament (MPs) in the lower house broke from regional opposition parties and pledged support for Modi's ruling coalition.

* During the monsoon session, the government is expected to proceed with bills to overhaul capital markets regulation, corporate laws, and the higher education sector. However, it may delay a more contentious bill to introduce market-based electricity pricing until the winter session in December-January because of higher energy prices.

* The BJP may also try to pass a constitutional amendment to fast-track the implementation of women's quotas in parliament and to initiate the redrawing of constituencies, provided it can secure the necessary votes. Although the lower house speaker will probably approve the defection of 26 opposition

MPs, the amendment's passage would hinge on securing the Dravida Munnetra Kazhagam (DMK)'s support. The DMK, with 22 MPs in the lower house, split from the larger opposition coalition after its defeat in the Tamil Nadu elections.

- * The expected addition of new MPs to Modi's governing coalition has also led to speculation of a cabinet reshuffle.

Takaichi's visit will strengthen supply chain security. Japanese Prime Minister Takaichi Sanae's first visit to India on 1-3 July focused on advancing several economic security initiatives designed to hedge against both the US and China. Although India is pursuing closer ties with several middle powers, its relationship with Japan is especially important.

- * Tokyo and New Delhi launched the Economic Security Initiative (ESI) last year to strengthen supply chains in semiconductors, critical minerals, telecommunications, clean energy, and pharmaceuticals. At the core of the initiative, the two governments identify business partners that can work together to address gaps in India's manufacturing capacity. For example, an early ESI project sought to reduce India's dependence on Chinese components for solar cell production. Over the past year, Tokyo identified Japanese firms with similar technologies and matched them with Indian companies.

- * After initial success in manufacturing areas such as solar cells and semiconductors, the two sides now aim to expand cooperation to AI governance and financial regulation.

- * The Iran war has also pushed the two countries to focus on energy security. Japan will help India develop its strategic petroleum reserves. More importantly, Tokyo has agreed to provide financial and technological assistance to advance India's green hydrogen and biofuel ambitions (see: Modi-Takaichi summit will drive spurt of government-backed joint ventures , 8 July 2026).

Modi's Indonesia trip boosts defense exports. During Modi's visit to Indonesia on 6-8 July, Jakarta signed in-principle agreements worth \$630 million for two batteries of the BrahMos short-range supersonic cruise missile system and about 150 Astra beyond-visual-range air-to-air missiles for its Sukhoi-27 and Sukhoi-30 fighter jets.

- * Indonesia is the third Southeast Asian country with a maritime territorial dispute with China to acquire the BrahMos. The Philippines acquired the missile system in a \$375 million deal in 2022, while a \$620 million deal with Vietnam is reportedly almost complete. The BrahMos is a cost-effective and versatile system, and its anti-ship capabilities make it an attractive option for ASEAN countries.

- * The BrahMos, co-developed with Russia, has become India's leading defense export, and interest in the missile system grew after India used it effectively to strike Pakistani airbases last May. Several countries are evaluating the system, including Malaysia, Thailand, and the UAE.

- * India will hope that Indonesia's procurement of the Astra, an indigenously developed missile, spurs demand from other countries that operate Russian fighter aircraft.

Clearinghouse agreement eases regulatory uncertainty for EU banks. On 30 June, the European Securities and Markets Authority (ESMA), the EU's financial markets regulator, recognized the Clearing Corporation of India as a tier-one third-country central counterparty. The decision confirms that the supervisory framework of the Reserve Bank of India (RBI) meets ESMA's oversight standards.

- * The ESMA-RBI agreement resolves a three-year clearinghouse dispute and removes a major source of regulatory uncertainty for EU-based banks operating in India. Until now, ESMA had insisted on the right

to conduct clearinghouse audits and supervisory functions for EU banks without prior RBI approval. However, the RBI indicated it would allow EU banks to exit India rather than compromise on what it viewed as a matter of sovereignty.

* Geopolitical considerations were key to breaking the impasse. New Delhi and Brussels saw resolution of the ESMA-RBI dispute as supporting their broader trade agreement, announced in January. The US and Japan will now probably seek similar regulatory arrangements, as their banks face a structural disadvantage relative to EU peers (see: EU-India clearinghouse accord sets template for US , 1 July 2026).

Pakistan

Short-term trajectory:

Long-term trajectory:

Low-level conflict with Afghanistan will probably persist. In April, China brokered a fragile ceasefire between Pakistan and the Taliban-led government in Afghanistan, but the truce collapsed after Pakistan carried out an airstrike in Afghanistan on 28 June, prompting Afghan retaliation.

* Pakistan's airstrikes—which aim to pressure the Taliban regime in Kabul to rein in its affiliate, the Tehreek-e-Taliban Pakistan (TTP)—are fueling the conflict. The TTP has increased attacks against Pakistani security forces over the last two years. The attack on the Pakistani Rangers headquarters in Karachi on 27 June also appears to be linked to the militant group. Although the Taliban would prefer a pause in hostilities, it has little leverage over the TTP and must respond to Pakistani cross-border strikes for domestic political reasons.

* The conflict will probably continue. The TTP is unlikely to let up in its attacks, especially because it believes its strategy of targeting Pakistani forces is working. The Pakistani military has also failed to effectively weaken the group's capabilities. Repeated strikes in Afghanistan have achieved little, but Pakistan appears to have no other options.

* The fighting will nonetheless remain contained and sporadic. Pakistan will probably take military action periodically once TTP attacks cross a certain threshold, such as bombings in key cities. Such action will likely trigger limited clashes between Pakistani and Taliban forces. Neither side has the military or economic capacity to wage a larger war (see: Ceasefire collapse will extend cycle of low-level conflict with Afghanistan , 6 July 2026).

* Meanwhile, Islamabad faces a growing insurgency in Balochistan province, where ethnic Baloch militants, backed by the TTP, killed 42 security personnel in attacks between 6 and 8 July. The insurgency will hinder investment in the mineral-rich province and further increase tensions between Pakistan and Afghanistan (see: Military will struggle to contain escalating insurgency in Balochistan , 6 February 2026).

Bangladesh

Rahman's China trip sends a signal to India. Prime Minister Tarique Rahman's visit to China on 24-26 June elevated bilateral ties and produced a series of agreements; however, geopolitical considerations may hamper their implementation.

- * The two countries discussed a proposed China-Myanmar-Bangladesh economic corridor that would link Yunnan province in southwestern China to Bangladesh. Although the corridor could significantly expand regional trade, instability in Myanmar will impede progress. The two sides also agreed to explore a 2+2 dialogue between their defense and foreign ministries. Bangladesh also remains in talks to buy 24 Chinese J-10CE fighter jets.

- * Additionally, the two sides agreed to expedite the feasibility study for a project to manage and develop the Teesta River with Chinese support. However, India, which shares the Teesta with Bangladesh, will likely oppose Chinese involvement in managing the river because of its strategic location.

- * Rahman's China trip was meant to send a signal to New Delhi, as the reset in bilateral ties has slowed. Although both sides remain keen to improve relations, anti-India sentiment in Bangladesh remains high. Reports that Indian border guards have pushed people into Bangladesh after accusing them of crossing illegally into India have further strained the relationship. Rahman is expected to visit India in either July or August.

- * Bangladesh must balance its ties with China not only against its relationship with India, but also against its ties with the US and Japan. For example, the China-Myanmar-Bangladesh economic corridor and the planned purchase of J-10CE fighters run counter to Dhaka's trade agreement with Washington, which includes several security provisions. Japan also raised concerns about a clause in the joint communique signed during Rahman's visit to Beijing.

EG South Asia

southasia@eurasiagroup.net

Rahul Bhatia

Analyst, South Asia

Bhatia.ne@eurasiagroup.net

Pramit Chaudhuri

Practice Head, South Asia

chaudhuri.ne@eurasiagroup.net

PDF or Print | Get the EG iOS or Android mobile Apps for content on the go

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26803_314ece4b

[To manage your email preferences click here](#) | [To manage your research content alerts click here](#)